



A Ray of Hope If Indians continue to buy gold, one way of reducing the burden on forex and trade deficit would be to make recycling more attractive, say experts

term story of gold as a safe haven asset and a hedge against inflation remains attractive. Sachdeva, for instance, believes gold prices could top ₹2 lakh per 10 gram in a few years.

If Indians continue to buy gold, one way of reducing the burden on forex and trade deficit would be to make recycling more attractive, say experts. Currently, only around 10-11% of the demand is met through recycling. People may be averse to selling or exchanging old gold, especially jewellery passed down generations. But many also hold gold coins and bullion, which could be exchanged or recycled.

Jewellers show optimism. They point there has been a

noticeable increase in people exchanging old gold. At Jos Alukas, exchange-led purchases now account for about 75% of the business and at Kolkata-based Senco Gold, it is 50%.

“We have seen a significant increase in old gold exchange activity over the past few years, and the trend has strengthened further as gold prices have risen. Consumers are increasingly looking to unlock the value of their existing gold holdings and use those proceeds to upgrade or purchase new jewellery,” said Suvankar Sen, CEO and MD of Senco Gold.

The organised recycling market is growing. For instance, Muthoot Exim, which opened 110 Gold Point outlets, is now

targeting 200. These outlets are essentially collection centres, where one can walk in and sell their old gold. CEO Keyur Shah talks of the 3% GST on buying and selling gold, adding caution that this is what stops people from selling their gold, and slashing this would incentivise buying gold.

India’s appetite for gold shows little sign of fading. The question is whether the country can satisfy that appetite without worsening pressures on the rupee, trade deficit and forex reserves. Making recycling easier and alternative ownership models more attractive may prove just as valuable as the precious metal itself. **BT**

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